

Stora Enso: priced below its own forest — with a dated event that splits the company in two

A Helsinki-listed forest-products group trading below the transaction-tested, after-tax value of its standing forests, with a published plan to separate the Swedish estate into its own listed company by H1-2027. Bought at half our normal position size as fairly-paid special-situation carry — not a catalyst trade — with limit orders resting below the market.

POSITION

Half-starter ~0.5%

300 sh filled @ €8.81; 250 sh resting @ €8.30
(below the 52-week low)

PRICE VS. THE FOREST, HONESTLY

€8.94 vs €9.16–10.80

after-tax vs gross total forest; the 2027 spin itself delivers €7.10–7.23/sh · no purchases above €9.20

The dislocation, in one picture — two lenses, both shown



Two lenses. On total group forest — €10.80 gross, €9.16 after deferred tax — the standing forests alone match or exceed the share price: the €9.3bn-revenue operating business is implicitly free-to-nearly-free. But the dated 2027 catalyst crystallizes only the *Swedish* estate (€7.10–7.23/sh), which is *less* than the share price. The honest frame is a sum-of-the-parts where each part is individually cheap and a dated event

splits the company into two cleaner securities — **not** "the catalyst hands you the operating company for nothing."

03

The forest mark is a price × quantity claim — each half verified separately

Price — verified by a transaction. May 2025: Stora sold 12.4% of the Swedish estate for €900M, "in line with accounting fair value," to private institutional buyers. Real money paid the book mark, in cash, for the exact piece the 2027 event monetizes.

Quantity and condition — the half nobody checks. The marks assume healthy, sustainably-harvested standing forest. That is a *physical quantity*, observable from satellite imagery. Slide 06.

What's inside the €10.80 — and what the spin actually separates: Swedish estate ~1.2M ha = €7.10–7.23/sh (the spin perimeter) · a 41% stake in Finland's Tornator plus a retained Swedish associate = €2.18/sh (stays with the parent, equity-accounted — illiquid stakes, not cash) · China/Brazil/Uruguay plantations = €1.42/sh (stay with the parent). The May-2025 transaction validates the price of the *Swedish* piece specifically. Deferred tax on the forests (~€1.64/sh) nets the €10.80 to **€9.16 after-tax**.

04

The clock: a real forcing event — read precisely

- **What is published:** a statutory partial cross-border demerger separating the Swedish forest business into a new listed company — named (Bergslagens Skogar), dual-listed Stockholm + Helsinki, **shares distributed to holders pro-rata, both share classes identical**. Announcement H2-2026, completion H1-2027, a capital-markets day set for November 3, 2026. Structures of this type are designed to be tax-neutral in Finland and Sweden — an inference from the statutory form; the company itself doesn't use the phrase, and **US tax treatment is unaddressed** (see slide 08).

- **What the event does:** crystallizes the Swedish estate as a separately-priced security and hands it to shareholders. **What it does not do by itself:** force the market to pay total-group forest value for everything — the Tornator stake and the plantations stay inside the parent and re-rate only if the market chooses to.
- **The votes:** the two anchor holders (the Finnish state's vehicle, ~27.3% of votes; the Wallenberg sphere, ~27.4%) have **publicly supported** the demerger and stated they intend to hold both companies. These are supportive statements, not binding undertakings, and the required general-meeting supermajority is two-thirds — so ~55% supportive is highly encouraging, not yet decisive.

05

What we verified — including the scary print-day headline

CLAIM	FINDING (PRIMARY SOURCE)
"Stock down ~11% on a Q2 loss"	Benign on decomposition — verified to the euro: adjusted operating profit +27% ; the reported loss = –€83M impairments + –€61M forest fair-value swings, both named in the release. (An early wire said "–4%"; the exchange tape confirms –10.8% — we check the tape, not the wire.)
Book value & shares	Recomputed: equity €10.8bn / 788.6M shares → ~0.65x book at our entries.
Balance sheet	Net debt / adjusted EBITDA 2.2x , down from 2.8x at year-end — part of the improvement is a hybrid bond counted as equity, so the deleveraging is real but milder than the ratio alone suggests.
Currency inside the mark	The Swedish forest is valued in kronor inside a euro-reporting company — part of any change in the euro mark is FX, not trees. A weak krona deflates the figure independent of the physical estate.
US-holder tax structure	Tested against the passive-foreign-investment-company rules: passive assets ~15% of total — safely an operating company even in a deep drawdown.
Title, pledges & minority interests	Verified from the audited notes: the forest is unencumbered (pledged assets/mortgages: nil; all group debt unsecured) and the retained Swedish estate is wholly owned, 100% attributable to shareholders (the group's only minority interest is an unrelated China JV). Ownership chain confirmed to the 2019 Bergvik-restructuring release. Sámi reindeer-grazing rights are disclosed at the engagement level but not sized in the financials — a prospectus item.

06

THE VERIFICATION PROGRAM

Watching the forest itself — screened, no red flag

METHOD	STATUS	WHAT IT FOUND
Vegetation-index time series (Sentinel-2, 10–30m)	FIRST PASS DONE	Standing-forest health high and stable (~0.8 vegetation index) across all sampled regions, 2024→2026 — no die-back, no drought scar
Clear-cut detection (satellite forest-loss)	FIRST PASS DONE	Screened — no red flag. Measured harvesting across six sampled estate regions averages ~0.8% of area/yr — at the method's own noise floor (a protected national park, where felling is illegal, read 0.95%: that's what "zero" looks like at this resolution). The panel cannot distinguish "low" from "very low" — but it <i>would</i> clearly flag genuinely elevated cutting, and found none. What this supports: no evidence of elevated depletion of the collateral — the one catastrophic failure mode is screened out. It does not independently "confirm harvest discipline"; that would over-read a noise-floor measurement on regionally-sampled, not deed-verified, parcels.
Catastrophe exposure (European fire data + bark-beetle estimates)	FIRST PASS DONE	Fire negligible (hundreds to ~1,000 ha burned <i>nationally</i> per year, 2024–25); the 2018–21 bark-beetle wave ~95% receded, estate counties at the edge of the zone.

How we know the method isn't fooling us: the protected-park control validates the noise floor, and the data-quality guards earned their keep — the first raw pass produced a *fake 84% clear-cut* from atmospheric haze (caught, excluded), and one persistently hazy region is reported as *unverifiable* rather than guessed. Region-level sampling of an unpublished estate, stated as such.

07

Additional monitoring on the name

MONITOR	STATUS	WHAT IT READS
Management-language consistency	LIVE, WEEKLY	The separation commitment tracked verbatim across company communications. Softening or quiet <i>disappearance</i> of "first half of 2027" is the earliest possible warning. First check: the commitment is intact and <i>advancing</i> (company named, capital-markets day set).
Job-posting trends	LIVE SCANNER	Oulu mill conversion staffing (the cash-flow inflection) and Swedish forestry operations — which also disambiguates the harvest-rate read (crews vs. demand).
Crowding check	LIVE METHOD	The street covers the <i>name</i> (15 analysts, consensus Hold) but the spin thesis is un-crowded: attention falling, the market still pricing the operating business at a discount to the asset floor. Later adds would not be buying a discovered trade — yet.

Why only half-size — the honest slide, now honestly calibrated both ways

- **The operating trough is real but not desperate:** $\sim 22\times$ last year's earnings excluding forest-revaluation noise (likely leaner in 2026 as packaging prices sag); free cash flow thin but *positive* (+€122M after investment last year), with the big Oulu mill conversion now past its earnings-breakeven point. (An earlier draft said " $\sim 55\times$ and breakeven cash flow" — bent pessimistic; corrected.)
- **You are barely paid to wait, and here is the exact mechanism:** $\sim 1.8\%$ net dividend as actually held — our broker withholds Finland's 35% statutory rate at source on Finnish dividends (it is not a registered Finnish intermediary, so the 15% US-treaty rate does not apply automatically). The treaty rate ($\sim 2.4\%$ net) is recoverable only via a manual Finnish reclaim that would recover roughly €15–30 a year at this position size — not worth filing. Of the 35% withheld, only the treaty 15 points are creditable against US tax; the rest leaks.
- **The split costs the operating company its captive fiber:** an 18-year supply agreement converts $\sim 9\%$ of its Nordic wood from owned to purchased-at-market. The parent left behind is structurally a slightly worse business than today's integrated one.
- **Dead-money window:** 12–18 months where the asset floor protects value but nothing forces the price.
- **What remains open on the structure — and this one is real for a US holder:** the published shape is holder-friendly (pro-rata, classes identical), and in-country tax-neutrality is the standard design of this statutory form. But the company says nothing about US treatment, and a foreign demerger is **not automatically tax-free for US holders** — absent a qualifying US reorganization analysis, receiving the forest-company shares could be a **taxable dividend at their fair value**. Resolved at the prospectus, any US tax opinion, and the post-completion basis filing. Until then, the "value unlock" for a US taxable holder carries a possible tax haircut we won't pretend away.

Tripwires — all dated, none discretionary

EVENT	WHEN	RULE
Q3 report	~late Oct 2026	Separation on track for H1-2027 and leverage $\leq 2.5\times \rightarrow$ hold, add on weakness. Slip past 2027 or leverage $> 2.8\times \rightarrow$ cut to watch.
Capital-markets day	Nov 3, 2026	The forest company's stand-alone economics and the wood-supply terms — the first look at how the two securities will actually be priced.
Demerger prospectus	2026–27	The US-holder tax answer (reorganization treatment vs taxable dividend; the company's basis filing) + foreign-minority mechanics; adverse treatment $\rightarrow$ exit review regardless of price.
Language drift	continuous	Any softening of the H1-2027 commitment = early warning; pre-empts the Q3 gate.
Satellite forest monitor	quarterly (first pass: no red flag)	Measured harvest materially above the company's own figures $\rightarrow$ the collateral is depleting $\rightarrow$ thesis review.
Price discipline	standing	No purchases above €9.20; entries at €8.80 / €8.30 only. Any future <i>add</i> is anchored on the €7.1–7.2 spin perimeter and the €9.16 after-tax floor — never on the €10.80 gross headline.

THE CONSERVATION LENS

A growing, verified carbon sink — valued honestly, not hopefully

The measured fact first: the estate cuts only ~70% of what it grows (audited: 4.1M m³ harvested vs 5.9M m³ growth) — standing volume *rises* ~1.8M m³/yr, a net sink on the order of **one-to-two million tonnes of CO₂ per year** under certified management. Our satellite pass *screened* the harvest claim — no evidence of elevated cutting — and re-checks it quarterly. A conservation claim under continuous independent observation, not a sustainability-report sentence.

What the separation reliably does — and what it doesn't

- **Reliably:** converts one discounted conglomerate into two pure-play securities the market prices on their own merits, and hands the forest to holders pro-rata (tax-neutral in the Nordics by design; US treatment resolves at the prospectus). A

conservation-minded investor gets the clean vehicle in 2027 without paying for it today.

- **Not reliably:** a re-rating to appraised value. The honest comparables cut against that hope — Sweden's own listed forest owners trade at $\sim 0.70\times$ (SCA) and $\sim 0.85\times$ (Holmen) of their forest values, and US timber REITs at 24–35% below appraised NAV. The discount is *cyclical* (REITs have touched parity in lumber booms), so listing can compress it episodically — but the buyer who demonstrably pays full value is **private** (the 2025 sale). Underwrite the event as "crystallized value + cleaner securities," not "new flows re-rate the stock."
- **The optionality rides free at today's price:** carbon-sink value as EU climate accounting matures, nascent biodiversity credits, wind-lease rents (established income for large Swedish forest owners), certified-timber premiums, EU deforestation-traceability compliance edge.

The honest tension — this is not a nature reserve: commercial rotation forestry is genuinely contested by conservation groups even at sustained yield; tighter EU harvest restrictions would raise the land's conservation value while cutting its timber cash flow; and carbon-credit additionality rules block selling credits for restraint already practiced. The claim we stand behind: a **well-stewarded, independently screened, net-growing forest with real conservation optionality — bought at a price that pays nothing for it.**

11

THE ORTHOGONALITY CASE

How uncorrelated from AI/tech is this, really? Measured, not assumed

The position exists to be orthogonal to a portfolio heavy in US mega-tech — so we measured it instead of asserting it, across Stora Enso and its two Swedish listed-forest peers (SCA, Holmen), against the Nasdaq-100, the S&P, and a software index.

WEEKLY RETURN CORRELATION (~25 YRS)	VS NASDAQ- 100	VS S&P 500	VS SOFTWARE INDEX	BETA VS S&P
Stora Enso	0.44	0.53	0.37	1.07
SCA	0.34	0.38	0.28	0.61
Holmen	0.36	0.42	0.31	0.58

The coupling that exists is ordinary market beta, not tech — every forest name correlates *less* with software than with the broad market, because no driver of a Nordic forest equity (sawlog and pulp prices, European construction, packaging demand, EU forest regulation, the krona, biological growth) shares a cash-flow channel with AI capex or mega-cap tech earnings.

The live test, July 2026: on the month's worst software day (software index -3.0%), the three forest names *rose* $+2.7\%$ to $+4.5\%$ — textbook rotation — and month-to-date through the AI-capex derate they beat the Nasdaq-100 by roughly **10–13 percentage points**. In the 2022 growth bear, their correlation to tech fell toward zero. That is the regime this position is built for.

Where the orthogonality honestly breaks: (1) a systemic liquidity panic — in 2020-style crashes correlation snapped to ~ 0.6 , because in a true everything-selloff nothing is uncorrelated; (2) a synchronized rate shock, which re-rates all long-duration assets — forests and growth stocks — together; (3) a global recession, via shared cyclical demand. And one sector scar worth naming: this industry already absorbed a full technology disruption once — digitization killed graphic paper — though that vector has largely played out and the paper exposure sits in the operating company, not the forest. Also honest: Stora carries the *most* market beta of its peer group (1.07) — this position is orthogonal to the **tech factor**, not to a broad crash. It is the sleeve's catalyst leg, not its minimum-beta ballast.

12

Summary: what we own, at the size the honest math supports

A company priced at or below the after-tax, transaction-tested value of its forests, with a published, holder-friendly, dated event that splits it into two cleaner securities; a forest under quarterly satellite screening that shows no depletion; anchor holders publicly behind the plan; and $\sim 1.8\%$ net carry while waiting through a 12–18-month window in which nothing forces the price. That is a **fairly-paid special situation, not a mispricing with a trigger** — and it is sized like one: a half-starter with the second entry resting below the 52-week low, adds anchored on the spin-perimeter and after-tax numbers, and every exit condition dated in advance.

Prepared from primary filings (H1-2026 report and reconciliation tables, FY2025 accounts, the Nov-2025 demerger release, the May-2025 transaction) and live exchange quotes on the Helsinki listing.

Disclaimer. This document is personal research, published for informational and educational purposes only. It is not financial, investment, tax, or legal advice, and it is not an offer or a solicitation to buy or sell any security. The author is not a financial advisor, registered investment adviser, or broker-dealer. **Position disclosure: the author's portfolio is long Stora Enso R-shares at the time of writing** and may buy or sell at any time without notice. Every figure reflects a good-faith effort at verification against primary sources, but errors are possible and numbers go stale; nothing here is a guarantee of accuracy or of future results. Do your own research and consult a licensed professional before making any investment decision.

13

Scoreboard, twelve days in — what actually happened, and what it does and doesn't prove

Added 2026-08-04. This deck published on 23-Jul-2026, the day of the entry. Nothing above this slide has been edited — the record grades as written.

LEDGER LINE	THEN (23-JUL)	NOW (04-AUG)
Fill	300 shares @ €8.81 — the resting ladder caught the print-day flush, ~4% below that day's own €9.17 close	€10.02 → +13.7% on the fill (+€362)
Second rung	250 @ €8.30, resting below the 52-week low	never filled — the flush bottomed just under €8.81; the deeper rung was unreachable. Recorded as a gate graded against, not a near-miss
Street, same window	print-day: shares -12% intraday; JPMorgan, Handelsbanken (→€11), SB1 (→€10) all cut within 48h	OP downgraded to <i>Reduce</i> on 03-Aug — the recovery happened <i>against</i> the analyst tape, not with it; price now sits at/above two of the cut targets
Holder tape	anchor holders behind the demerger plan	BlackRock disclosed >5% on 29-Jul — one datapoint of institutional accumulation into the dislocation

Honest attribution — the +13.7% decomposed against controls: close-to-close from the print day, Stora +9.4% · UPM (the sector twin, which crashed on its own Q2 the same week) +6.4% · the S&P 500 +4.5%. So roughly a **third of the move is market beta, a third is the sector's shared post-print recovery, and only the remainder is Stora-specific repricing** — plus ~4 points earned by the entry mechanics themselves (a limit resting *below* the panic, filled at €8.81 while the day closed €9.17). The win so far is mostly the *dislocation-entry discipline*, not vindication of the demerger thesis.

What has NOT been proven yet — the actual thesis is still ungraded: price has merely converged from the panic print back toward the €10.80/sh forest mark (€9.16 after-tax) and our €10.85 probability-weighted value — it is now *at* fair, no longer below it. No new information arrived on the one thing the thesis turns on: the H1-2027 forest separation. The first real test is unchanged and dated — the **Q3 report (~late-Oct)** must show the separation on track and net debt / adjusted EBITDA $\leq 2.5\times$; a slip past 2027 or leverage above $2.8\times$ cuts this to a watch, at whatever price. **Consequently nothing changes at the position:** no adds at fair value (the no-chase line above €9.20 did its job and stays), the deep rung keeps resting, and the exits stay dated. A fairly-paid special situation that recovered to fair is a *working* position, not a finished one.